

negotiable. What is more, new securities could be issued only with the greatest difficulty, since ordinarily it is the speculator who absorbs so large a part of them until they become "seasoned" and made attractive to investors. Economists have in fact long compared the economic function of speculation with that of insurance, because both provide methods for the absorption of risk. In the security market, the investor can avoid or shift his risks only because of the presence and activities of the speculator. The investor can purchase "seasoned" issues because the speculator has been willing to hold them until they were "seasoned." When his securities begin to show deterioration, the investor can sell them largely because the speculator will take them off his hands, with the risks they entail. If these risks of ownership could not be shifted in this way to speculators at the will of the investor, the latter would be forced to absorb them himself, and investment itself would of necessity become speculative.

After the great fluctuations in security prices which have occurred all over the world in the last decade, it is natural that everyone should be anxious to see greater price stability in the stock market, and many superficially plausible schemes for artificially "stabilizing" the security market have been proposed. One trouble with such plans is that they fail to penetrate to the real bed rock of the situation. The only way to stabilize security prices is to stabilize industrial earning power. So long as earning power fluctuates, the prices of securities which depend upon it are bound to fluctuate. Artificial stabilization schemes for the stock market, granted that they were really workable, could only succeed in manipulating security prices in order to have them tell falsehoods concerning the security values which they should truthfully reflect. Any such perversions of security prices, however well meant, would entail the danger of creating a disparity between prices and values that could be corrected only by unusually violent and sudden price fluctuations.